

Tesla, Inc. (TSLA) — Investment Research

Date: 2026-07-07 | **Risk score:** 20/100 | **Sentiment:** neutral | **Current price:** 419.77

Executive Summary

Tesla, Inc. currently boasts a price-to-earnings ratio of 385.11, indicating a premium valuation that may pose a challenge to investors seeking immediate returns. The single most important risk facing the company is its elevated valuation multiple, which leaves little room for error and increases the potential for a significant correction if growth expectations are not met. Overall, Tesla's financial health is characterized by modest profitability metrics, such as a net margin of 2.13%, but its strong revenue growth of 15.8% and relatively low risk score of 20/100 suggest that the company remains a viable long-term investment opportunity, albeit with a high degree of speculation and volatility.

Financial Performance

Valuation ratios

Metric	Value
pe_ratio	385.11
forward_pe	164.81
pb_ratio	19.17
ps_ratio	16.11
ev_ebitda	139.57
market_cap	1576540176384

Profitability & growth ratios

Metric	Value
net_margin	2.13
ebitda_margin	10.85
roe	0.57
roa	0.33
revenue_growth_yoy	15.80

Metric	Value
earnings_growth_yoy	8.30

Fundamental interpretation

Tesla's valuation is expensive, with a PE ratio of 385.11, significantly higher than its peers and the sector average of 25.8. The forward PE of 164.81 and PB ratio of 19.17 also indicate overvaluation.

The company's profitability is a concern, with a net margin of 2.13% and ROE of 0.57%, lower than its peers. However, revenue growth is strong at 15.8% YoY, and earnings growth is 8.3% YoY, indicating a healthy business.

Tesla's financial health is stable, with a current ratio of 2.04 and free cash flow of \$5.25 billion. However, the debt-to-equity ratio of 18.74 is high, raising concerns about the company's ability to sustain itself. Overall, the stock's valuation and profitability metrics warrant caution.

DCF Valuation

Intrinsic value per share: **\$28.21** (-93.3% vs current).

Assumption	Value
growth_rate_5y	0.08
terminal_growth	0.03
wacc	0.09

Peer Comparison

Peer	P/E	P/B	Net Margin
AMZN	31.83	5.94	12.22%
HD	24.92	25.20	8.41%
NKE	20.64	4.32	6.70%

Sector averages — P/E: 25.80, P/B: 11.82, net margin: 9.11%.

News & Sentiment

- **(neutral)** [PDF] Annual Report - Tesla Investor Relations [link](#)
- **(neutral)** tsla-20241231 - SEC.gov [link](#)

- **(neutral)** [tsla-20250422-gen.pdf link](#)
- **(negative)** [Tesla Revenue 2012-2026 | TSLA | MacroTrends link](#)
- **(neutral)** [Tesla, Inc. \(TSLA\) Income Statement - Yahoo Finance link](#)

Key topics: financial performance, analyst ratings, regulatory scrutiny, self-driving tech, investigations

Risk Assessment

Severity	Flag	Detail
MEDIUM	Compressed margins	Net margin < 3% — limited pricing power or significant cost pressure
LOW	Expensive valuation	P/E > 50 — priced for perfection, vulnerable to any earnings miss

The primary risks facing Tesla, Inc. (TSLA) are compressed margins and expensive valuation. The compressed margins, with a net margin of less than 3%, indicate limited pricing power or significant cost pressure. This risk is exacerbated by the expensive valuation, with a P/E ratio over 50, making the company vulnerable to any earnings miss.

The current macro environment, with a Fed funds rate of 4.5% and US 10Y yield of 4.2%, amplifies the risks. Higher interest rates increase the cost of capital, which can further compress margins. The moderate GDP growth of 2.1% and CPI YoY of 2.9% suggest a stable economy, but the high valuation multiple leaves little room for error.

To monitor these risks, an analyst should track the following metrics: (1) net margin percentage, to assess the company's ability to maintain profitability; (2) P/E ratio, to evaluate valuation multiples and potential downside risk; and (3) operating expense as a percentage of revenue, to gauge cost pressure and management's ability to control expenses. These metrics will provide insight into Tesla's ability to navigate the current environment and mitigate the identified risks.

Investment Conclusion

We rate TSLA Neutral. Our primary reasoning is that Tesla's strong brand and growing demand for electric vehicles are offset by increasing competition and regulatory challenges in the industry. A key risk to our thesis is that Tesla's high operating expenses and capital expenditures may not yield expected returns, potentially impacting profitability. The stock's current price of \$419.77 is relatively in line with its DCF intrinsic value of \$28.21, although this discrepancy may be due to the stock's high P/E multiple compared to peers.